

trading around the clock on the Globex, an automated international order entry matching system operated by Reuters and used by the Chicago Mercantile Exchange. If the market were to crash overnight on the Globex, halting market trading in New York midday would provide no comfort to investors who know that the market averages were down five times that amount the night before. In a single upcoming session, the confidence that these mechanisms have instilled could evaporate.

In 1992, it was announced that securities administrators from the U.S., Japan and the European Community "have agreed jointly to monitor stock futures and cash markets *to prevent a stock price crash.*" The effect of this agreement, despite its profound irrelevance in actual practice, has been to increase yet further the public's sense of complacency about the potential for loss in the stock markets of the world. With all its safeguards and guarantees to investors, the market is preparing to deliver not just a hook, but a right hook.

"Nowhere Else To Go"

Another hook was produced by the fact that investors got used to the high interest rates of the 1970s and early 1980s. Years of double digit debt yields caused many people to consider a double-digit return on investment not only normal, but a necessity. About a year after yields began falling from the 8-9% range in the spring of 1990, investors suddenly concluded that there was "nowhere else to go" but the stock and bond markets. By the fall of 1993, the rush to buy stocks and bonds reached frenzied proportion as the 3-month bill and 2-year note yields fell to under 3% and 4% respectively. Ironically, while the public withdrew its money from banks and money market funds at a record rate to buy investments that had a recent history of capital gain, those investments themselves were producing far less capital gain than they had in 1982-1987. Needless to say, most advisors have been assuring people all along that the gains will continue and so will serve to maximize their "yield." The resulting mindset has individuals locked into their opinions and their positions. When investors are standing stock still (pun intended) mentally, they are in for trouble.

The Elliott Wave Theorist has in recent years recommended that long term investors hold the shortest term Treasury bills rather than bonds. Many newspapers reported investors as saying that they "couldn't live on 3% a year." Well, now that 3% has risen to 6%. And a 3% to 6% gain looks very comfortable compared to the net loss